

AFFORDABLE HOUSING: SOLUTIONS FOR EQUITABLE ACCESS IN ONTARIO

SUMMARY OF KEY POINTS

- Ontario is experiencing a severe housing crisis characterized by a shortage of affordable housing, a large housing supply gap, and rapidly rising rents.
- These challenges disproportionately affect vulnerable groups, including newcomers, single mothers, and Indigenous peoples.
- Current housing policies are relatively strong at the macro level but insufficiently address mid-range affordability, discrimination in housing markets, and differences across housing types, locations, and tenure.
- The briefing note proposes **3 policy directions**:
 1. expanding portable housing benefits for equity-priority groups in the short term;
 2. strengthening the role of non-profit and community housing providers in the medium term;
 3. embedding equity goals into provincial housing planning frameworks in the long term.

The key recommendation is a sequenced and coordinated, multi-level government strategy that implements these measures in an integrated and time-phased manner.

Primary audience: Ontario Ministry of Municipal Affairs and Housing (MMAH)

Secondary stakeholders: Municipal housing divisions (e.g., City of Toronto Shelter, Support & Housing Administration); Non-profit housing providers (e.g., Toronto Community Housing)

I. CONTEXT AND EVIDENCE

Ontario's housing crisis is characterized by a significant housing supply gap, high rent costs, and unequal access to affordable housing. First, Ontario has the largest housing supply gap in Canada (CMHC, 2025a). According to the estimates, to ease affordability pressures in the Greater Toronto Area, the housing stock would need to grow at a substantially faster rate, with estimates suggesting up to 70% more homebuilding (CMHC, 2025). Second, rapidly rising housing prices represent a major challenge. Rental prices in Ontario are approximately three times higher than they were a decade ago and have significantly outpaced wage growth (Ontario Housing Affordability Task Force, 2022). Third, access to affordable housing is highly unequal across population groups. Certain subpopulations such as Indigenous peoples (CMHC, 2025b), immigrant newcomers (Gorski, 2023), and single mothers (Schwan et. al, 2020) experience particularly severe housing inequalities.

Indigenous people. More than 17% of Indigenous Canadians (many of whom live in Ontario) reside in overcrowded housing (Melvin & Anderson, 2022). Ontario Aboriginal housing agencies report that Indigenous households in the province are disproportionately low-income and often spend more than 50% of their income on housing (CMHC, 2025b).

Newcomer immigrants. Ontario's large immigrant population faces intense housing pressure as well. Newcomer families are significantly more likely than long-standing residents to spend over 30% of their income on shelter; by 2021, more than one-third of recent immigrants in

Ontario were in unaffordable housing. Unaffordable housing describes scenarios where over 30% of gross household earnings is allocated to shelter costs (Gorski, 2023).

Single mothers. Single-mother families in Ontario face comparable challenges within the province’s high-cost housing market. Female-headed lone-parent households are substantially more likely than two-parent households to be in core housing need (Schwan et. al, 2020), which is fully reflected in Ontario, where lone mothers represent a large demographic group.

Existing initiatives aim to strengthen Ontario’s affordable and social housing system by expanding the supply of rent-assisted housing, preserving existing units, and preventing homelessness among vulnerable populations. They combine housing construction and repair, long-term affordability supports, and targeted benefits and services especially for Indigenous households, low-income renters, and people facing housing instability to promote stability, accessibility, and system sustainability. As Ontario’s current housing policies focus on supply growth and the lowest-income households, they largely miss people who are not eligible for social housing but are priced out of the private market. The policy mix also insufficiently confronts discrimination and exclusion in the rental market. In addition, supply-focused reforms emphasize overall unit counts rather than the type, location, and tenure of housing needed by these groups (e.g., family-sized units, proximity to care and transit).

Table 1: Existing Ontario initiatives for tackling affordable housing crisis

NHS	Market housing supply initiatives	Community housing initiatives
	• Bill 108, More Homes, More Choice Act, 2019 • Bill 109, More Homes for Everyone Act, 2022 • Bill 23, More Homes Built Faster Act, 2022. • Bill 97, Helping Homebuyers, Protecting Tenants Act, 2023 • Bill 185, Cutting Red Tape to Build More Homes Act, 2024. • Building Faster Fund These initiatives aim to cut through red tape and get more homes built faster.	• Ontario's 15% expansion of rent-assisted units target • Canada-Ontario Community Housing Initiative (COCHI) • Ontario Priorities Housing Initiative (OPHI) • Canada-Ontario Housing Benefit (COHB) These initiatives aim to preserve existing social housing, expand rent-assisted units, improve affordability and living conditions, and provide targeted support to vulnerable populations. They allow flexibility for local adaptation and promote long-term sustainability of providers.
Non- NHS	• Homelessness Prevention Program (HPP) • Indigenous Supportive Housing Program (ISHP)	

II. POLICY OPTIONS

2.1. Policy Option 1 - Status quo

Ontario would continue prioritizing housing supply expansion and the preservation of existing social and affordable housing through programs such as COCHI, OPHI, HPP, and COHB, with particular emphasis on addressing homelessness and Indigenous housing needs. This approach is strongest at the system level, focusing on construction, unit preservation, and support for the lowest-income households.

However, it would continue to overlook mid-income households priced out of the private market especially newcomers and single mothers and would insufficiently address discrimination in rental markets. Housing policy would also remain centered on total unit counts rather than on the type, location, and tenure of housing most needed by vulnerable groups.

2.2. Policy option 2 - Short-term option (0-2 years).

Targeted Expansion of Portable Housing Benefits for Equity-Priority Groups. Ontario could introduce a time-limited expansion of portable housing benefits within COHB, specifically targeting newcomers, Indigenous households living off-reserve, and single-parent families who are severely rent-burdened but ineligible for social housing. Unlike construction-based solutions, this option can be implemented quickly and allows households to remain in their current communities. Given that over one-third of recent immigrants in Ontario spend more than 30% of income on housing (Gorski, 2023), portable benefits are prioritized over new construction in the short term due to faster deployment and lower fiscal lag.

Objective: Reduce rent-burden among equity-priority households currently excluded from social housing.

Target population: Newcomers within first 5 years of arrival; Indigenous households living off-reserve; Single-parent families earning 60–100% of area median income

Implementation timeline: Year 1: expand COHB eligibility criteria and funding envelope; Year 2: pilot rent supplements in high-pressure markets (GTA, Hamilton, Waterloo)

Outputs / indicators: Number of households receiving benefits; Average reduction in rent-to-income ratio; Housing retention rate after 12 months

2.3. Policy option 3 - Medium-term option (2-5 years).

Expanded Role for Non-Profit and Community Housing Providers. The province could expand partnerships with non-profit and Indigenous housing providers to act as intermediaries between tenants and the private market. These organizations can provide tenant screening, support services, and lease guarantees, lowering barriers for marginalized groups while improving housing stability. MMAH should, within the next fiscal year, amend COHB guidelines to include equity-priority eligibility streams and allocate pilot funding in high-cost municipalities.

Form of partnership: Service agreements between MMAH and designated non-profit housing providers

Named partners: Ontario Aboriginal Housing Services (Indigenous tenants); YWCA Toronto (single mothers); COSTI Immigrant Services (newcomer housing navigation)

Roles: Province: funding, eligibility rules, risk-sharing; Non-profits: tenant screening, landlord liaison, support services; Private landlords: provide units with lease guarantees

Policy instrument: Lease guarantees; Damage mitigation funds; Standardized tenancy support contracts

2.4. Policy option 4 - Long-term option (5+ years).

Embedding Equity Objectives into Provincial Housing Planning Frameworks. Ontario could formally integrate equity metrics into long-term housing planning, including targets related to unit size, proximity to transit and care infrastructure, and affordability relative to local incomes. The long-term policy design is also dependent on the impact of short-to-medium-scope policy interventions, adaptable to evolving dynamics.

III. RECOMMENDATIONS

Based on Ontario's current policy landscape and the evidence presented, this briefing note recommends a sequenced and coordinated approach across levels of government.

1. Primary recommendation. Ontario should prioritize short-term targeted affordability tools, particularly portable housing benefits and rent guarantees for equity-priority populations, while simultaneously embedding equity conditions into provincial funding and planning frameworks over the medium term. This allows the province to address immediate access barriers without delaying action until new supply comes online.

2. Secondary recommendation. The federal government should use Ontario's experience to refine National Housing Strategy instruments, encouraging provinces to adopt portable benefits, risk-sharing mechanisms, and equity-aligned planning criteria. Federal funding agreements could explicitly reward provinces that demonstrate improvements in access for marginalized sub-populations, not only increases in total housing supply.

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